ROYAL LONDON SUSTAINABLE GROWTH FUND

31.08.23

FUND OVERVIEW

Fund Manager(s)	Sebastien Beguelin, George Crowdy, Mike Fox
Fund Size	£109.03m
Domicile	United Kingdom
ISA	Eligible
Investment Association Sector	IA Mixed Investment 40-85% Shares
Currency	GBP
Initial Charge	0.0%
Fund Management Fee (FMF):	M Acc: 0.77% Z Acc: 0.62%

Share Class M GBP (Acc)

Unit Launch Date	24.05.22
Minimum Investment	£100,000
Sedol code:	BMV9236
Mid	107.80p
Historic Yield	1.34%

Share Class Z GBP (Acc)

Unit Launch Date	24.05.22
Minimum Investment	£3,000,000
Sedol code:	BMV9247
Mid	107.90p
Historic Yield	1.45%

Overview

The Fund's investment objective is to achieve capital growth (1) over the medium term, which should be considered as a period of 3-5 years, by investing in a diverse range of equity and fixed income assets. Investments in the Fund will adhere to the Investment Manager's ethical and sustainable investment policy. The Fund is actively managed, meaning that the Investment Manager will use their expertise to select investments to meet the objective.

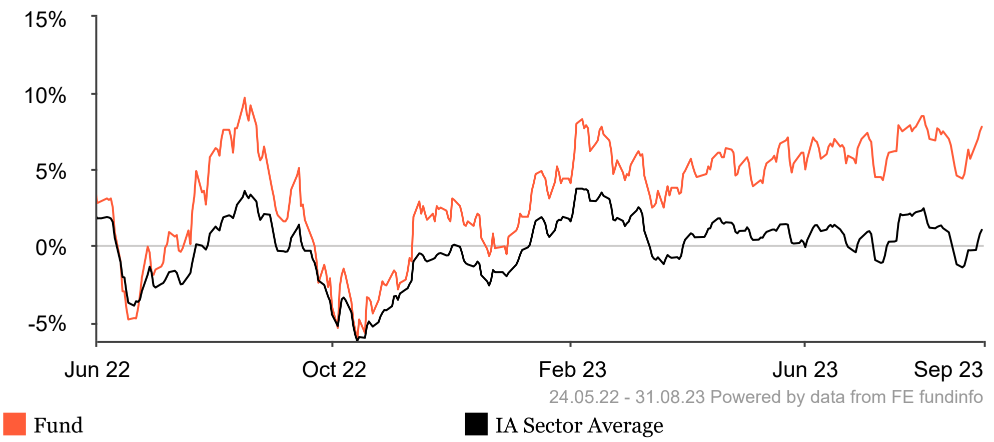
Year-on-year performance

	30.06.22 to 30.06.23	30.06.21 to 30.06.22	30.06.20 to 30.06.21	30.06.19 to 30.06.20	30.06.18 to 30.06.19
Share Class M GBP (Acc)	9.1%	-	-	-	-
Share Class Z GBP (Acc)	9.2%	-	-	-	-

Cumulative Performance (as at 31.08.23)

	3 Months	6 Months	1 Year	3 Years	5 Years
Share Class M GBP (Acc)	1.6%	3.4%	4.5%	-	-
Share Class Z GBP (Acc)	1.6%	3.4%	4.6%	-	-
IA Sector Average	0.8%	-0.2%	0.3%	10.4%	14.8%
Quartile Ranking	1	1	1	-	-

Performance Chart



Past performance is not a guide to future performance. The value of investments and the income from them is not guaranteed and may go down as well as up and investors may not get back the amount originally invested.

Source: RLAM and FE fundinfo as at 31.08.23. Fund performance is shown on a mid to mid price basis, net of fees and gross of taxes, with gross income reinvested unless otherwise stated. Benchmark performance is shown gross of fees and taxes.

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ESG Terms and Definitions

ESG Integration: The systematic and explicit inclusion of environmental, social and governance (ESG) factors into investment analysis and investment decisions.

Sustainable Fund Objective: A product that has sustainable investment or a reduction in carbon emissions as its objective.

Exclusions: Explicitly prohibits investing in a particular company, sector, business activity, country or region.

ESG Metrics Explanation

Carbon Footprint: Exposure to high emitters in the portfolio, expressed in tCO_2e/\$M invested. Financed emissions (explained above) are divided by the portfolio value, the same approach for listed companies and private issuers is applied in this metric.

Weighted Average Carbon Intensity: Portfolio's exposure to carbon-intensive companies, expressed in tCO_2e / \$M revenue. Scope 1 and scope 2 GHG emissions are divided by companies revenues, then multiplied based on portfolio weights (the current value of the investment relative to the current portfolio value). The WACI is calculated as a weighted average sum of the holdings with carbon intensity coverage.

ESG Characteristics Rationale

The Fund focuses on the sustainability of the products and services of the companies it invests in, as well as their standards of environmental, social, governance ("ESG") management, alongside financial analysis. The investment approach is fundamentally based on positive screening; identifying companies that are making a positive contribution towards a cleaner, healthier, safer and more inclusive society, through assessing both what a company does and how it does it, and through active engagement to encourage continual improvement. The fund will not invest in companies that undertake business activities deemed to be detrimental to society and that breach our Do No Significant Harm principle. Further details of the Funds Sustainable Investment process can be found in the ethical and sustainable investment policy at www.rlam.com

ESG Characteristics

	Yes	No
ESG Integration	✓	
Sustainable Fund Objective	✓	
Additional Exclusions*	✓	

**RLAM has a controversial weapons exclusion across all investments*

Our Fund Restrictions

Adult Entertainment	✓
Alcohol	✓
Animal Welfare	✓
Armaments	✓
Controversial Weapons	✓
Fossil Fuels	✓
Gambling	✓

High Environmental Impact	✓
Human Rights Issues	✓
Nuclear Power	✓
Nuclear Weapons	✓
Tobacco	✓

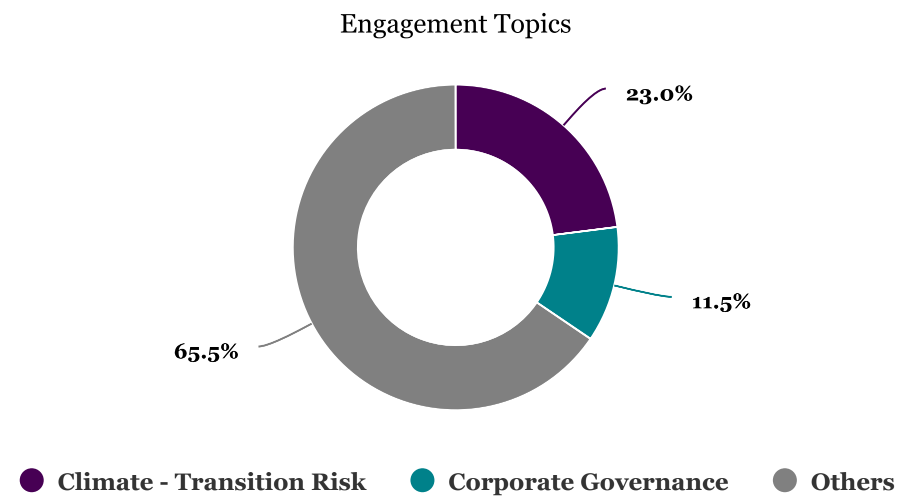
Details of avoidance and/or exclusion criteria: https://www.rlam.com/globalassets/media/literature/policies/rlam-ethical-and-sustainable-investment-policy.pdf

ESG Metrics*

	Portfolio	Benchmark	Difference
Weighted Average Carbon Intensity	57.9	-	0.0%
Weighted Average Carbon Intensity Coverage	96.0%	-	-

*data as at 30/06/2023

Fund Stewardship Activity*



*Data as at 31st December 2022 for the calendar year 2022. Data includes activity led by the Investment Manager and Responsible Investment teams.

Fund Manager(s)

Sebastien Beguelin
Co-manager
Fund Manager tenure:
24.05.22

ALPHA MANAGER RATING
Powered by FE fundinfo

George Crowdy
Co-manager
Fund Manager tenure:
24.05.22

ALPHA MANAGER RATING
Powered by FE fundinfo

Mike Fox
Co-manager
Fund Manager tenure:
24.05.22

ALPHA MANAGER RATING
Powered by FE fundinfo

Yield Definitions

The historic yield reflects distributions declared over the past twelve months as a percentage of the mid-market price, as at the date shown. It does not include any preliminary charge and investors may be subject to tax on their distributions. Reported yields reflect RLAM's current perception of market conventions around timing of bond cash flows.

Important Information

This is a financial promotion and is not investment advice.

The Fund is a sub-fund of Royal London Equity Funds ICVC, an open-ended investment company with variable capital with segregated liability between sub-funds, incorporated in England and Wales under registered number IC000807. The Authorised Corporate Director (ACD) is Royal London Unit Trust Managers Limited, authorised and regulated by the Financial Conduct Authority, with firm reference number 144037. For more information on the fund or the risks of investing, please refer to the Prospectus or Key Investor Information Document (KIID), available via the relevant Fund Information page on www.rlam.com.

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Source: RLAM, FE fundinfo and HSBC as at 31.08.23, unless otherwise stated. Yield definitions are shown above.

Our ref: FS RLAM PD 0100

Breakdowns exclude cash and futures.

Fund Commentary

July was a good month for equity markets as the latest inflation data in both the US and UK was lower than anticipated and resulted in some tempering in the expectations of future interest rate expectations. As a result, equity markets moved higher, with the MSCI World Index rising by 2.1% in sterling terms and the FTSE All-Share Index rising by 2.6%. Despite the better inflation data, US Federal Reserve increased interest rates by 0.25% and the Bank of England is expected to push another rise through later in August. Despite the rise in rates year to date, the recent corporate reporting season has been reassuring as most companies have been able to deliver reasonable growth in profits with a resilient outlook. Finally, the oil price was strong during the month, rising by 14% as economic prospects improve and production cuts from OPEC start to impact.

The Sterling credit market rose 2.1% in July, driven by both credit spread, and gilt yield moves. Credit spreads tightened 13bps over the month to reach 131bps, the index tights of the year. Following several months of rises, Gilt yields were lower over July, with ten-year UK government bonds moving from 4.44% to 4.3%, following positive UK inflation data.

The fund underperformed in July and was ranked in the fourth quartile relative to its peer group. Performance contributions within the month were led by a number of technology companies including Alphabet and Adobe, as investors continue to assess the influence which AI might have on future business models, while Alphabet also reported strong results within its core search business. Good financial results from rail equipment manufacturer Wabtec, along with Standard Chartered, were both additive to performance as well. The weakest contribution in the month came from Compass Group as the market digested the potential for a slightly slower margin recovery, along with renewables-focused utility SSE, reflecting its more defensive nature in the context of a risk-on market.

The fund added to a number of positions during the month, including Asia-focused financial holdings Standard Chartered Bank and Bank Rakyat Indonesia. We also topped up the position in outsourced catering giant Compass Group, in response to relative share price weakness in spite of positive results. The most notable reduction was a continued reduction in the position in vehicle electrification specialist Aptiv.

Sector Breakdown

	Fund
Fixed Income	24.0%
Industrials	19.5%
Technology	18.4%
Health Care	14.2%
Financials	10.8%
Consumer Discretionary	6.7%
Basic Materials	3.0%
Utilities	1.9%
Consumer Staples	1.4%

Top 10 Holdings as at 31.08.23

Name	Fund
Visa Com - Class A Shares Usd0.0001	3.2%
Microsoft Corp	3.1%
Alphabet Inc Class A Com Npv	2.9%
Thermo Fisher Scientific Inc Com USD 1	2.9%
Schneider Elte Sa Eur8	2.7%
Astrazeneca Usd0.25	2.6%
Canadian National Railway Npv	2.6%
Texas Insts Com Usd1	2.3%
London Stock Exchange Group Gbp0.069186	2.3%
L'oreal Eur0.20	2.3%
Total	**26.9%**
No of Holdings	

Every effort is made to ensure the accuracy of any information provided but no assurances or warranties are given. Nothing in this factsheet should be construed as advice and is therefore not a recommendation to buy or sell shares.

CONTACT DETAILS

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Telephone calls may be recorded. For further information please see the privacy policy at http://www.rlam.com.

Key Concepts to Understand

Bonds: are defined as fixed-income investments issued as debt by companies and public bodies to raise finance. Investors in bonds receive a previously agreed, non-variable interest payment until the investment matures. Corporate bonds are those issued by companies to raise finance.
Capital Growth: The rise in an investment's value over time.
Derivative: A financial instrument whose price is dependent upon or derived from one or more underlying asset.
Equities: Securities that represent an ownership interest in a company.
Environmental, social and governance: A list of predefined criteria that determines how a company operates in terms of sustainability and overall corporate governance.
Efficient Portfolio Management (EPM) Techniques The Fund may engage in EPM techniques including holdings of derivative instruments. The use of these instruments may expose the Fund to volatile investment returns and increase the volatility of the net asset value of the Fund. EPM techniques may involve the Fund entering into transactions with counterparties where there may be a risk of counterparty default. The Fund’s ability to use EPM strategies may be limited by market conditions, regulatory limits and tax considerations.

Fund Risks

Investment Risk: The value of investments and any income from them may go down as well as up and is not guaranteed. Investors may not get back the amount invested.
Counterparty Risk: The insolvency of any institutions providing services such as safekeeping of assets or acting as counterparty to derivatives or other instruments, may expose the Fund to financial loss.
Emerging Markets Risk: Investing in Emerging Markets may provide the potential for greater rewards but carries greater risk due to the possibility of high volatility, low liquidity, currency fluctuations, the adverse effect of social, political and economic instability, weak supervisory structures and accounting standards.
EPM Techniques: The Fund may engage in EPM techniques including holdings of derivative instruments. Whilst intended to reduce risk, the use of these instruments may expose the Fund to increased price volatility.
Exchange Rate Risk: Investing in assets denominated in a currency other than the base currency of the Fund means the value of the investment can be affected by changes in exchange rates.
Liquidity Risk: In difficult market conditions the value of certain fund investments may be difficult to value and harder to sell, or sell at a fair price, resulting in unpredictable falls in the value of your holding.
Responsible Investment Style Risk The Fund can only invest in holdings that demonstrate compliance with certain sustainable indicators or ESG characteristics. This reduces the number of securities in which the Fund can invest and there may as a result be occasions where it forgoes more strongly performing investment opportunities, potentially underperforming non-sustainable funds.